

and today is worth \$766 billion.

- Subway began as a single sandwich shop in Bridgeport, CT, and a \$1,000 investment — and today generates over \$9 billion in sales in over 35,000 locations.

You get the idea. Small companies can grow to 10 times or 20 times and still be small. They can even become 100-baggers. Apple today, by contrast, has a \$766 billion market cap. We can safely assume it won't go up 10 times or 20 times and certainly not a hundredfold.

The Alchemy behind 100-Baggers

My focus is on the US market, but I've wondered what such a study might look like in other markets.

Fortunately, one such study exists. A firm called Motilal Oswal put together a study of 100-baggers in India. Published in December 2014, the authors of the report also found their inspiration in Phelps's work and dedicated their report to him.

It's a fine report, and there is much wisdom in it. "Very few investors even conceptualize their equity investment multiplying 100 times," they wrote. "Even fewer actually experience a 100-fold rise in the price of their stock(s). This is because such 100-fold rises may take longer than three, five or even 10 years' time. And holding onto stocks beyond that period requires patience."

Indeed it does, as you well know by now. Nearby is a chart that neatly plots the returns required, and the years needed, to reach 100-bagger status.